Financial Ombudsman Service

complaint

UK General Insurance (Ireland) Limited ("UKII") has declined Mr and Mrs S's claim for flood damage under their home insurance policy. Mr and Mrs S are also unhappy with the service from UKII following the claim.

background

Mr and Mrs S's cellar was flooded with a few inches of water which they think was caused by extreme bad weather.

They'd been living in the property for over eight years when the damage happened. Mr S thinks it's a Victorian cellar and isn't aware of it being flooded before. He says that the cellar floor is carpeted and the walls are painted white. The cellar contains gym equipment and isn't used as a normal living room. He says that it's always been musty.

Mr and Mrs S made a claim to UKII who sent a surveyor to investigate. The surveyor agreed that the cellar was flooded. He said the cellar didn't have an adequate damp-proof system as it doesn't incorporate a floor membrane and as a result was prone to letting water in as the water table rose. UKII said that meant the damage wouldn't be covered by Mr and Mrs S's policy.

Mr and Mrs S are unhappy that because of the flood claim they were no longer eligible to renew their policy at the same rate as they'd paid when they'd taken it out They found cover elsewhere but this was more expensive. They've also complained about UKII's poor service.

my first provisional findings

A summary of my first provisional decision is set out below.

liability for the claim

Mr and Mrs S have made a valid claim for flood damage. UKII has to settle the claim unless it can show that the policy exclusion applies. So the first question to consider was whether UKII acted reasonably in declining the claim by relying on the exclusion for loss or damage caused by rising water table levels.

Mr S thought the flooding was linked to the extreme weather beforehand. UKII's surveyor ruled out other causes of flooding such as a burst pipe or water coming in from above ground. The surveyor concluded that heavy rainfall over the weeks prior to the flood being discovered had led to the water coming up through the ground. I thought these views were consistent with each other. They were both essentially talking about ground water flooding which is when the level of water within the rock or soil below the surface of the land (known as the water table) rises for some reason such as heavy rainfall. When the water table rises and reaches ground level, water starts to come out on the surface. We usually consider that to be a "flood".

The evidence suggested that the weather conditions prior to the incident were the sole reason for the rise in the water table level and flood in the cellar. It seemed to me notable that the level of water in the cellar went down after a few days. After a period of torrential rain, the water table level would rise naturally and recede quickly.

Initially I thought it was unreasonable for the exclusion to apply, removing liability for claims which have been caused by a temporary increase in the water table. Because of this, I provisionally thought that UKII should reassess Mr and Mrs S's claim for water damage to their cellar, accepting that it was caused by an insured event (storm/flood).

renewal of the policy

Mr and Mrs S's policy was due for renewal not long after they made their claim. Their policy had a two year price promise. This meant that the policy would be offered for renewal at the same price in the second year if certain conditions were met. One condition was that there had been no claims in the first year and another was that the information supplied in the first year hadn't changed. They think that UKII should be bound to renew the policy at the original price. I thought it was reasonable for UKII not to stick to the price promise since its terms were clear and Mr and Mrs S no longer satisfied the conditions - they had made a claim and their information had changed due to their property being affected by flooding.

By the time of the policy renewal UKII had stopped offering new home insurance in the UK. Unfortunately there was a breakdown in communications which led to information about Mr and Mrs S's claim not being passed to their new insurer. The new insurer didn't want to offer cover because of the flooding and Mr and Mrs S had to arrange alternative insurance for a higher premium. All in all, this was no doubt stressful and inconvenient for them. I didn't think, however, that it was UKII's fault that the new insurer tried to cancel the policy or that their premiums increased as that’s usual after a flood claim.

service received by Mr and Mrs S.

Mr and Mrs S also raised issues regarding the behaviour of the surveyor who was sent to inspect the damage at his home. They felt that the surveyor only made a cursory inspection of the cellar. According to the surveyor, Mr S had diagnosed a rise in the water table as the cause of the flood. Mr S strongly denied this. I thought there might have been a misunderstanding which caused them some distress.

I also saw that UKII's agent often didn't respond promptly or clearly to Mr and Mrs S.

Having considered the above points, I provisionally decided it was right that Mr and Mrs S should be compensated for the distress and inconvenience they experienced as a result of UKII's actions and thought that an award of £100 would be fair and reasonable.

responses to my first provisional decision

Mr and Mrs S accepted my first provisional decision.

UKII's agent didn't accept my first provisional decision. It asked me to reconsider the fairness of the rising water table exclusion. It pointed out that heavy rain over a sustained period is the most common cause of a rising water table.

my second provisional findings

A summary of my second provisional decision is set out below.

I considered carefully the points raised by UKII. I accepted that ground water flooding tends to occur after a long period of heavy rain. The fact that Mr and Mrs S's property hadn't been flooded in at least the previous eight years after other spells of heavy rain suggested to me that the water level around and under Mr and Mrs S's property might have risen generally. I thought that was probably why it couldn't cope with the heavy rainfall experienced prior to the cellar flooding even though previously the same level of rainfall might not have been a problem.

Home insurance policies come with many different types of cover, exclusions and conditions. I didn't think the exclusion for rising water table levels was an unclear or unusual one.

In the light of the comments received following my first provisional decision I was persuaded that it was in fact fair and reasonable for UKII to apply the exclusion to defeat the claim. I still thought that UKII should pay compensation of £100 to Mr and Mrs S for the distress and inconvenience caused by its actions.

responses to my second provisional decision

UKII agreed with my second provisional decision but Mr and Mrs S asked me to reconsider on the following grounds:

- Their property is built into a hillside and only two of the four cellar walls are fully underground. They thought that given the elevated position of the cellar, it was almost impossible that the flood had been caused by a rise in the water table. They thought their property had been flooded as a result of extreme weather conditions.
- Mr and Mrs S said UKII had relied on inaccurate data. They quoted data from the Met Office for south east England to show that in the 14 days prior to the flood the amount of rainfall was 64.84mm, not 118.8mm as claimed by UKII. They also thought that if the property had been flooded due to a rise in the water table, it would have remained flooded while 95.32mm of heavy rain continued to fall in the following 14 days.
- They didn't think the exclusion for a rise in the water table should apply because UKII didn't do enough to make them aware of it.
- They referred to previous decisions by this service where we decided that a flood could be caused by a rise in the water table.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint. In particular I've taken into account Mr and Mrs S's comments.

It's not disputed that around the time of the cellar being flooded there was torrential rain. Mr S told UKII that water was rising through the floor of the cellar. UKII's surveyor couldn't find any other possible cause for the flooding but a rise in the water table caused by the recent heavy rain. Based on the evidence I've seen, I'm persuaded that this is the most likely explanation.

I've checked the rainfall data relied upon by UKII by carrying out a search based on the postcode of Mr and Mrs S's property and found it to be correct. Mr S pointed out that his house is built into a hillside. Although flooding due to a rise in the water table is often found in low lying areas, it can also occur on hillsides and this may explain why the water drained away soon after the period of torrential rain even though it carried on raining.

With regard to the exclusion from cover for damage caused by a rise in the water table, I'm satisfied that this isn't an unusual exclusion and it was clearly set out in the policy documentation. So in my opinion it's fair and reasonable for UKII to rely on this exclusion to defeat any liability it may have had for Mr and Mrs S's claim for flood damage.

There have been cases of water getting into cellars due to a rise in the water table where the insurer has disputed that the damage has been caused by a flood. That is not the case here. UKII agrees that there has been a flood. However the policy wording excludes liability for flooding caused by a rise in the level of the water table.

To summarise, the responses I received to my second provisional decision don't persuade me to revise my conclusions. I do appreciate that this decision will be a disappointment for Mr and Mrs S but unfortunately for them, I think UKII acted reasonably in not accepting their claim for the damage to their cellar.

my final decision

I uphold this complaint in part and require UK General Insurance (Ireland) Limited to pay compensation of £100 to Mr and Mrs S.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr and Mrs S to accept or reject my decision before 15 October 2015.

Elizabeth Grant
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